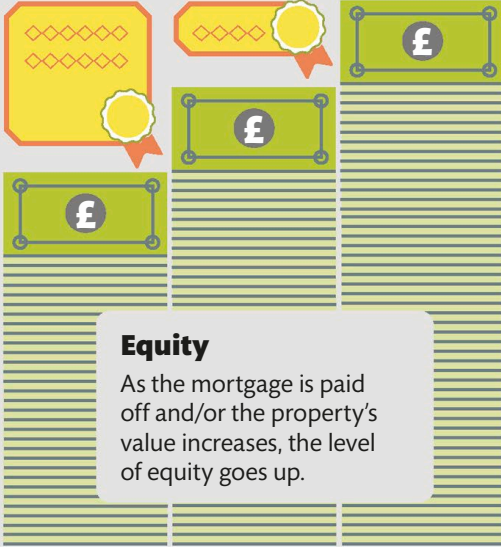


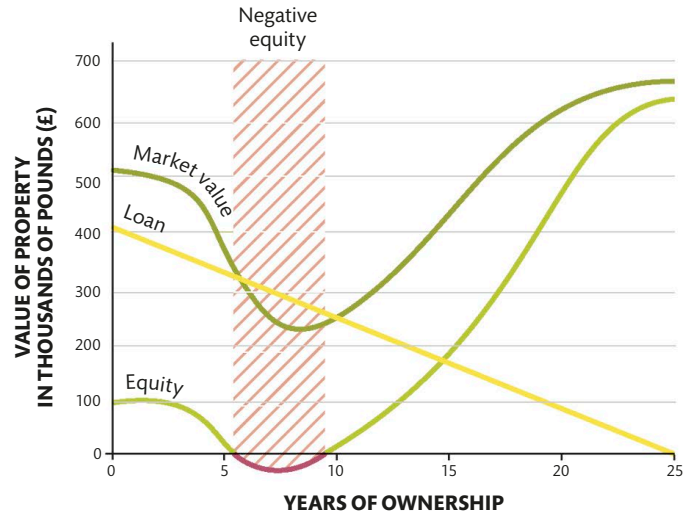


Equity

As the mortgage is paid off and/or the property's value increases, the level of equity goes up.

LOANS, VALUE, AND EQUITY

Equity fluctuates depending on the market value of a property and the amount of any mortgage held against it. If a house is bought for £500,000, with a loan of £400,000, the equity in it is £100,000. If after five years, the loan has been paid down to £300,000, but the value falls below £300,000, then the house is in negative equity as the loan is greater than the market value.



Negative equity

If the value of a property falls, generally as the result of a real-estate slump, to the point at which it is lower than the amount of mortgage loan owed on it, then the property is said to be in negative equity.

